J.P.Morgan

Asia Pacific Equity Research
25 July 2025

HD Hyundai Marine Solution

2Q25 OP in-line; operation stays robust with improved margin; OW with PT at W220K

Overweight

443060.KS, 443060 KS
Price (24 Jul 25):W185,100

▲**Price Target (Dec-26):W220,000**
Prior (Dec-26):W190,000

HMS's 2Q25 sales were a slight miss, but OP was in-line with consensus, showing a clear path for robust sales and earnings growth trajectory. The company is confident in meeting its annual sales target for this year, and in the medium term (20% CAGR for core business sales growth guidance). The company also announced a quarterly DPS of W700, and hinted at a higher year-end DPS and for payout to come in potentially at the upper-end of the target range of 50-70%. While we could see share price volatility from technical overhang (10% remaining PE stake), we believe higher than expected OPM in 2Q despite external negative factors such as FX, limited downside risk to top-line, and strong shareholder return calls for better P/E multiple, hence we raise our target multiple to 28x from 25x and raise our PT to W220K (from W190K). Maintain OW.

- **2Q25 revenue slight miss:** HMS's 2Q25 revenue was a slight miss at W468B, down q-q mostly due to 1) the bunkering business which was negatively affected by oil price and FX; 2) high base of retrofit side in 1Q (completion of major equipment delivery). However, ex-bunkering AM solution and digital solutions saw record-high quarterly sales, printing double digit y-y growth trajectory. Despite unfavorable FX, AM solution saw strong growth on both the engine and non-engine side, and the company noted that ordering activities in power plants have been translating meaningfully into sales. On the retrofit side, the company completed the first FSU conversion project in 2Q, with delivery time of less than 1 year. EPLO related orders were at 88 units, in-line with annual guidance of 150 units, and the company expects 20 units to contribute to sales in 2H.
- **2Q25 OP largely in-line:** HMS's 2Q25 OP (W83B, OPM 17.7%) was solid and largely in-line with Street expectations, despite a slight sales miss. The company did not disclose a detailed breakdown of OP, but management did comment on the margins by division. AM profits increased due to the product mix effect from rising Himsen engine sales. For retrofit, margins improved due to revenue recognition and profit contribution from the FSU project. The digital segment continues to maintain a strong profit margin with solid revenue growth.
- **PT at 220k, OW.** The share price is down 8% in the past month (KOSPI: +3% YTD). With the visualizing IMO regulations, robust demand for retrofit is expected going forward. We maintain our estimates unchanged after the in-line earnings print, and the company is on track to meet its annual target of W2T sales. The company has also announced it will pay a quarterly DPS of W700, and also noted that the payout for this year could be close to the upside of the 50-70% target range. With better margin profile, structural top-line and earnings growth despite external negatives, and strong shareholder return, we raise our target P/E multiple to 28x (from 25x) and raise our PT to W220K (from W190K) . We are OW on the stock.

Korea Shipbuilding

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	81	86	96	96	
Growth	10	17	56	51	29
Momentum	52	3			
Quality	1	2	2		
Low Vol	89	96	100		

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	14.7%	-11.6%	17.8%	39.5%
Rel	-18.3%	-14.4%	-8.7%	23.8%

Company Data

Shares O/S (mn)	44
52-week range (W)	216,000-99,500
Market cap ($ mn)	5,976
Exchange rate	1,376.80
Free float (%)	23.2%
3M ADV (mn)	0.25
3M ADV ($ mn)	30.6
Volatility (90 Day)	51
Index	KOSPI
BBG ANR (Buy | Hold | Sell)	11|0|0

Key Metrics (FYE Dec)

W in billions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	1,745	2,061	2,521
Adj. EBITDA	281	370	468
Adj. EBIT	272	357	456
Adj. net income	228	272	355
Adj. EPS	5,128	6,130	7,989
BBG EPS	5,110	6,231	7,685
Cashflow from operations	247	251	288
FCFF	237	241	278
Margins and Growth			
Revenue Growth Y/Y (%)	22.0%	18.1%	22.3%
EBITDA margin	16.1%	17.9%	18.6%
EBITDA Growth Y/Y (%)	34.0%	31.6%	26.5%
EBIT margin	15.6%	17.3%	18.1%
Net margin	13.1%	13.2%	14.1%
Adj. EPS growth	35.7%	19.5%	30.3%
Ratios			
Adj. tax rate	23.2%	25.0%	25.0%
Interest cover	NM	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROCE	43.5%	42.3%	46.8%
ROE	45.0%	32.4%	35.9%
Valuation			
FCFF yield	2.9%	2.9%	3.4%
Dividend yield	1.7%	2.3%	2.4%
EV/Revenue	1.8	3.2	3.0
EV/EBITDA	11.5	17.8	16.2
Adj. P/E	36.1	30.2	23.2

Summary Investment Thesis and Valuation

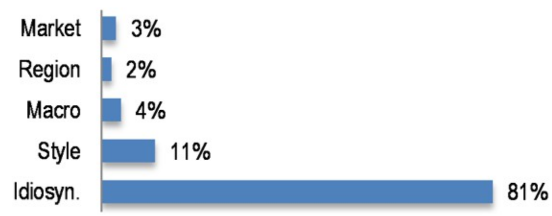
Investment Thesis

We maintain an Overweight (OW) rating. The company is on track to meet its annual sales target, with medium-term core sales growth guidance of a 20% CAGR. Quarterly DPS of W700 was announced, and the company guides payout could potentially be at the upper range of guidance of 50-70%. Despite possible share price volatility from a 10% PE stake overhang, we see limited downside risk. The company exceeded 2Q OPM expectations despite FX challenges. Robust fundamentals and strong shareholder returns justify a P/E multiple increase from 25x to 28x, in our view, increasing our price target to W220K from W190K.

Valuation

We set HMS's Dec-26 PT at W220K, based on a 2026E target P/E of 28x, a 20% premium to maritime peers given its stronger revenue and earnings growth prospects beyond our forecast horizon, less business risk and stronger shareholder return outlook. We use P/E as the valuation method for the stock, as: 1) unlike shipbuilding, it runs a stable and cycle-defensive aftermarket business; 2) its growth does not require heavy fixed capital deployment; and 3) we estimate its bottom-line earnings to accompany corresponding free cash flow and shareholder returns.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.19	-0.16
Region: Korea	0.30	0.13
Macro:		
US 10 Year Yield	0.35	0.16
Emerging Central Bank Rate	-0.16	-0.14
Generic 1st 'CO' Future	-0.24	-0.13
Quant Styles:		
LowVol	-0.20	-0.31
DivYld	-0.26	-0.30
Value	-0.16	-0.25

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Table 1: HMS: 2Q25 earnings review

Wbn, %

	2Q25			2Q24	% y-y	1Q25	% q-q
	Actual	Consensus	vs. BBG				
Revenue	**468**	**507**	**-8%**	**438**	**7%**	**486**	**-4%**
OP	**83**	**85**	**-3%**	**71**	**17%**	**83**	**0%**
OP margin	*17.7%*	*16.8%*		*16.2%*		*17.1%*	
NP	**53**	**68**	**-22%**	**57**	**-6%**	**63**	**-16%**
NP margin	*11.3%*	*13.3%*		*12.9%*		*13.0%*	

Source: Company data, Bloomberg Finance L.P.

Table 2: HMS: P&L/key ratios

Wbn, %

	2021	2022	2023	2024	2025E	2026E	2026E
P&L							
Sales	**1,088**	**1,334**	**1,430**	**1,745**	**2,061**	**2,521**	**2,817**
AM	365	467	606	806	1,020	1,226	1,435
Retrofit	153	194	169	164	170	305	305
SDV	49	45	62	71	81	121	121
Bunkering	521	627	593	706	790	869	956
COGS	942	1,138	1,158	1,383	1,612	1,948	2,154
Gross profit	**145**	**196**	**273**	**362**	**449**	**572**	**663**
Operating profit	**113**	**142**	**201**	**272**	**357**	**456**	**536**
Recurring profit	**117**	**142**	**201**	**297**	**363**	**473**	**558**
Net income	90	105	151	228	272	355	418
EPS (W)	**2,239**	**2,623**	**3,778**	**5,128**	**6,130**	**7,989**	**9,407**
Margin %							
Sales growth y-y		23%	7%	22%	18%	22%	12%
GP margin	13%	15%	19%	21%	22%	23%	24%
OP margin	10%	11%	14%	16%	17%	18%	19%
NP margin	8%	8%	11%	13%	13%	14%	15%
Key ratio							
Account receivables turnover	8	8	7	7	7	7	7
Inventory turnover	8	8	6	5	6	6	6
Account payable turnover	10	10	9	8	9	9	9
Net debt	-35	35	32	-481	-583	-669	-850
EV	**-35**	**3,371**	**3,368**	**3,226**	**6,591**	**7,563**	**7,382**
PER (x)		32	22	16	26	23	20
EV/EBITDA (x)		23	16	11	18	16	13
P/BV (x)		18	14	5	8	8	6
P/CF (x)		73	47	16	30	30	22

Source: Company data, J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

HD Hyundai Marine Solution *(Overweight; Price Target: W220,000)*

Investment Thesis

We maintain an Overweight (OW) rating. The company is on track to meet its annual sales target, with medium-term core sales growth guidance of a 20% CAGR. Quarterly DPS of W700 was announced, and the company guides payout could potentially be at the upper range of guidance of 50-70%. Despite possible share price volatility from a 10% PE stake overhang, we see limited downside risk. The company exceeded 2Q OPM expectations despite FX challenges. Robust fundamentals and strong shareholder returns justify a P/E multiple increase from 25x to 28x, in our view, increasing our price target to W220K from W190K.

Valuation

We set HMS's Dec-26 PT at W220K, based on a 2026E target P/E of 28x, a 20% premium to maritime peers given its stronger revenue and earnings growth prospects beyond our forecast horizon, less business risk and stronger shareholder return outlook. We use P/E as the valuation method for the stock, as: 1) unlike shipbuilding, it runs a stable and cycle-defensive aftermarket business; 2) its growth does not require heavy fixed capital deployment; and 3) we estimate its bottom-line earnings to accompany corresponding free cash flow and shareholder returns.

Risks to Rating and Price Target

Upside risks to our rating and price target include:

1) Strong vessel price pushing AM price and margins higher, and/or stronger-than-expected AM business expansion to non-captive vessels.
2) Stronger-than-expected retrofit demand over vessel replacement.
3) Faster than expected expansion of SDV revenue with strong operating leverage.

Downside risks include:

1) Slow pace of non-captive AM business expansion.
2) Rising competition which may weigh on profitability.
3) Shipowners opting for vessel replacement or slow steaming (i.e., postponing investment as far back as possible) over eco-retrofit.
4) Expiry of share lockup (six months post IPO).

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HD Hyundai Marine Solution: Summary of Financials

Income Statement	FY23A	FY24A	FY25E	FY26E
Revenue	**1,430**	**1,745**	**2,061**	**2,521**
COGS	(1,158)	(1,383)	(1,612)	(1,948)
Gross profit	**273**	**362**	**449**	**572**
SG&A	(67)	(85)	(86)	(109)
Adj. EBITDA	**210**	**281**	**370**	**468**
D&A	(8)	(9)	(13)	(12)
Adj. EBIT	**201**	**272**	**357**	**456**
Net Interest	(4)	7	7	18
Adj. PBT	**201**	**297**	**363**	**473**
Tax	(50)	(69)	(91)	(118)
Minority Interest	0	0	0	0
Adj. Net Income	**151**	**228**	**272**	**355**
Reported EPS	3,778	5,128	6,130	7,989
Adj. EPS	**3,778**	**5,128**	**6,130**	**7,989**
DPS	**2,500**	**3,150**	**4,300**	**4,500**
Payout ratio	66.2%	61.4%	70.2%	56.3%
Shares outstanding	40	44	44	44

Balance Sheet	FY23A	FY24A	FY25E	FY26E
Cash and cash equivalents	96	298	350	386
Accounts receivable	211	263	286	355
Inventories	238	273	278	336
Other current assets	502	594	622	749
Current assets	**597**	**1,076**	**1,205**	**1,418**
PP&E	11	20	18	17
LT investments	0	3	3	3
Other non current assets	44	53	83	96
Total assets	**657**	**1,152**	**1,310**	**1,535**
Short term borrowings	128	0	0	0
Payables	146	184	190	229
Other short term liabilities	113	159	175	192
Current liabilities	**388**	**343**	**364**	**422**
Long-term debt	0	0	0	0
Other long term liabilities	29	36	40	44
Total liabilities	**417**	**379**	**404**	**465**
Shareholders' equity	240	774	906	1,070
Minority interests	0	0	0	0
Total liabilities & equity	**657**	**1,152**	**1,310**	**1,535**
BVPS	**5,999**	**17,402**	**20,382**	**24,070**
y/y Growth	*31.7%*	*190.1%*	*17.1%*	*18.1%*
Net debt/(cash)	32	(481)	(583)	(669)

Cash Flow Statement	FY23A	FY24A	FY25E	FY26E
Cash flow from operating activities	**73**	**247**	**251**	**288**
o/w Depreciation & amortization	8	9	13	12
o/w Changes in working capital	(58)	(6)	(34)	(80)
Cash flow from investing activities	**5**	**(196)**	**(60)**	**(60)**
o/w Capital expenditure	(2)	(10)	(10)	(10)
as % of sales	*0.2%*	*0.6%*	*0.5%*	*0.4%*
Cash flow from financing activities	**45**	**(152)**	**140**	**191**
o/w Dividends paid	(90)	(100)	(140)	(191)
o/w Shares issued/(repurchased)	0	0	0	0
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**123**	**(101)**	**331**	**419**
Adj. Free cash flow to firm	**70**	**237**	**241**	**278**
y/y Growth	*53.0%*	*236.1%*	*2.1%*	*15.0%*

Ratio Analysis	FY23A	FY24A	FY25E	FY26E
Gross margin	19.1%	20.7%	21.8%	22.7%
EBITDA margin	14.7%	16.1%	17.9%	18.6%
EBIT margin	14.1%	15.6%	17.3%	18.1%
Net profit margin	10.6%	13.1%	13.2%	14.1%
ROE	71.6%	45.0%	32.4%	35.9%
ROA	25.7%	25.2%	22.1%	25.0%
ROCE	46.7%	43.5%	42.3%	46.8%
SG&A/Sales	4.7%	4.8%	4.2%	4.3%
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA (x)	0.2	NM	NM	NM
Sales/Assets (x)	2.4	1.9	1.7	1.8
Assets/Equity (x)	2.8	1.8	1.5	1.4
Interest cover (x)	54.9	NM	NM	NM
Operating leverage	578.6%	158.4%	173.0%	124.4%
Tax rate	24.8%	23.2%	25.0%	25.0%
Revenue y/y Growth	7.2%	22.0%	18.1%	22.3%
EBITDA y/y Growth	41.7%	34.0%	31.6%	26.5%
EPS y/y Growth	44.0%	35.7%	19.5%	30.3%

Valuation	FY23A	FY24A	FY25E	FY26E
P/E (x)	49.0	36.1	30.2	23.2
P/BV (x)	30.9	10.6	9.1	7.7
Dividend Yield	1.4%	1.7%	2.3%	2.4%

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

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HD Hyundai Marine Solution (443060 KS) - Rating and price target changes as of 25-Jul-25

Date	Rating	Price Target (Won)
17-Jun-24	N	150,000
18-Jun-24	N	150,000
24-Jul-24	N	150,000
08-Aug-24	OW	150,000
23-Oct-24	OW	160,000
10-Jan-25	OW	190,000
26-Feb-25	OW	190,000
17-Apr-25	OW	190,000
25-Apr-25	OW	190,000
25-Jul-25	OW	220,000

Source: Bloomberg Finance L.P., J.P. Morgan.

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Date	Rating	Price (W)	Price Target (W)
17-Jun-24	N	158000	150,000
08-Aug-24	OW	115100	150,000
23-Oct-24	OW	124100	160,000
10-Jan-25	OW	165600	190,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 17, 2024. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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	Overweight (buy)	**Neutral** (hold)	**Underweight** (sell)
J.P. Morgan Global Equity Research Coverage*	50%	37%	13%
IB clients**	51%	48%	35%
JPMS Equity Research Coverage*	47%	41%	12%
IB clients**	72%	69%	51%

***Please note that the percentages may not add to 100% because of rounding.**
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